Topic 5: Planning and Budgeting

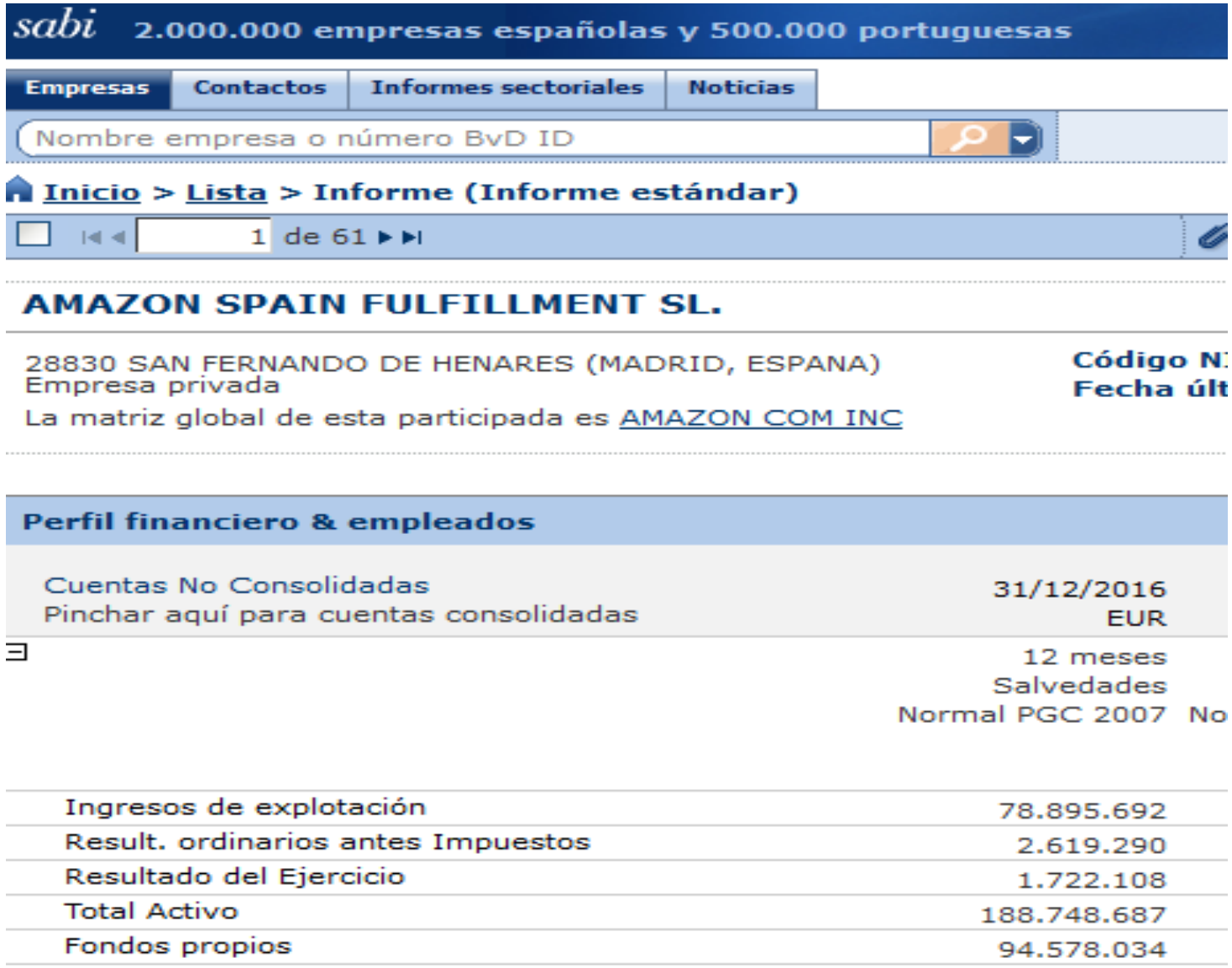
Sessions 9-10-11

Some basics on measuring performance

- ✓ What do YOU want to measure?
- ✓ What are the indicators that YOU will choose?
- ✓ What is YOUR benchmark?
- ✓ Who are YOU?

- ✓ ROS, ROA, ROE, Growth, market share, ESG indicators, working environment ("Great Place to Work")…
- ✓ Las year, your budget, strategic plan…
- ✓ CEO, CFO, Unions, Investors, Banks, Shareholders….

Amazon Fullfilment Spain



Net income

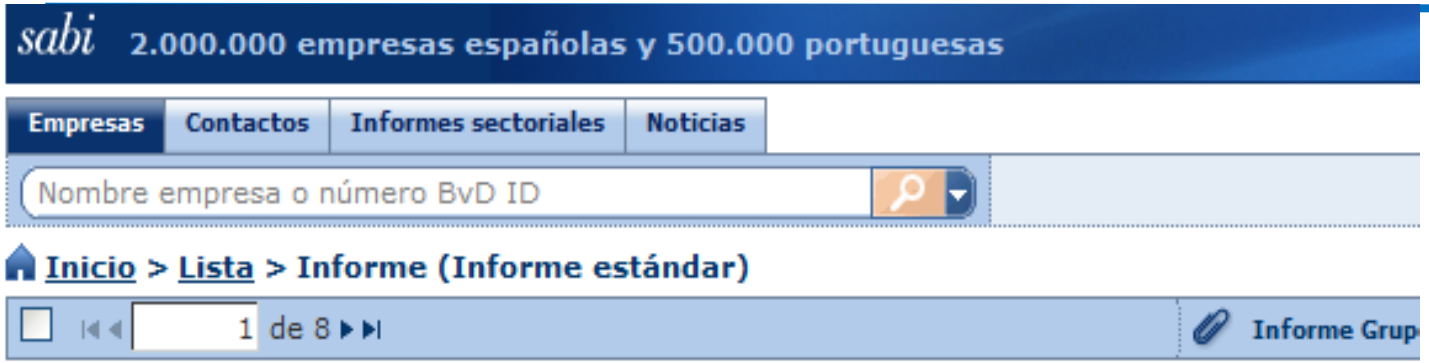
Revenues

1,722,108

78,895,692

2.18 %

Ritz Madrid



HOTEL RITZ MADRID SL

28014 MADRID (MADRID, ESPANA)
Empresa privada

Código NIF
Fecha últimas cuentas

La matriz global de esta participada es MALDONADO DIRECTORSHIP SL.

Cuentas No Consolidadas	31/12/2014 mil EUR	31/12/2013 mil EUR
	12 meses Salvedades Normal PGC 2007	12 meses Salvedades Normal PGC 2007
Ingresos de explotación	23.798	22.365
Result. ordinarios antes Impuestos	1.554	7.098
Resultado del Ejercicio	6.867	1.980
Total Activo	143.211	140.032
Fondos propios	3.373	-3.494

Net income / Revenues = 6,867,000 / 23,798,000

28.86 %

Ritz vs Amazon

What is your choice? Why? (give 3 reasons)

	Amazon	Ritz Hotel
Revenues	78,9	23,8
Profit before taxes	2,6	1,6
Net profit	1,7	6,9
Total Assets	188,7	143,2
Networth	94,6	3,4
Return on Sales (ROS)	2,2%	28,9%
Return on Assets (ROA)	0,9%	4,8%
Return on Equity (ROE)	1,8%	203,9%
Leverage (NW/Assets)	50,1%	2,4%

Some basics on budgeting

- ✓ Budgets help managers and their employees know whether they're on target for their growth and spending goals.
- ✓ No one likes to run out of cash
- ✓ Budgets help managers to:

  1. Communicate directions and goals to different departments of a company to help them coordinate the actions they must pursue to satisfy customers and succeed in the marketplace.
  2. Judge performance by measuring financial results against planned objectives, activities, and timelines and learn about potential problems.
  3. Motivate employees to achieve their goals

Budgeting and responsibility accounting

- **Organization structure:** arrangement of lines of responsibility within the organization
- **Responsibility center:** a part, segment, subunit of an organization whose manager is accountable for a specified set of activities
- **Variances allow feedback on**:
  - Early warning of future/deeper changes
  - Performance evaluation
  - Evaluating strategy
- **Controllability (who is to blame) vs information/improvement**

The Budget as a management tool

A budget is:

- ✓ (a) the quantitative expression of a proposed plan of action by management for a specified period and
- ✓ (b) an aid to coordinate what needs to be done to implement that plan.

The budget generally includes both the plan's financial and nonfinancial aspects and serves as a road map for the company to follow in an upcoming period.

You project not only P&L but also B/S, cash flow statements, operations and key performance indicators.

The Budget as a management tool

Responsibility and controllability

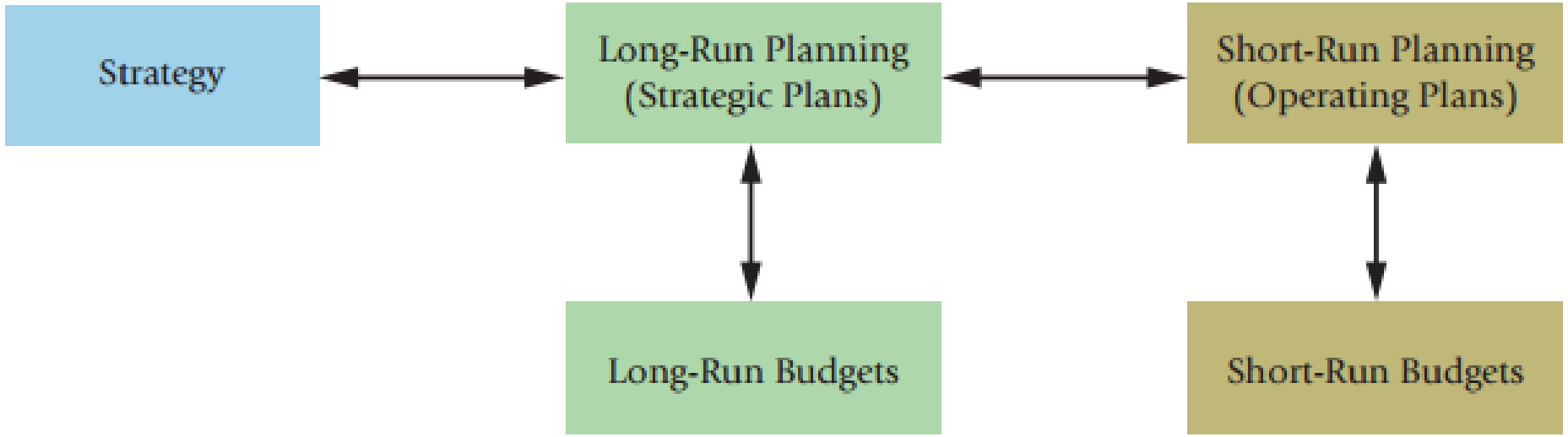
Budgetary slack: the practice of underestimating budgeted revenues or overestimating budgeted costs to make budgeted targets easier to achieve.

Stretching targets: they are challenging but must be achievable to exert extra effort but avoiding excess of anxiety or demotivation.

Ethics: At no point should the pressure for performance embedded in stretch targets push employees to engage in illegal or unethical practices.

Budget & Strategy

Budgeting is most useful when it is integrated with a company's strategy. Strategy specifies how an organization matches its capabilities with the opportunities in the marketplace to accomplish its objectives.



Budgets and the budgeting cycle

- The master budget expresses management's operating and financial plans for a specified period. It includes:
  - budgeted income statement
  - budgeted balance sheet
  - the cash budget
  - capital expenditures budget
  - the budgeted statement of cash flows.
- Additional complexity in multinationals: exchange rates, different tax rates, inflation…

Master budget

The master budget expresses management's operating and financial plans for a specified period, usually a fiscal year, and it includes a set of budgeted financial statements. The master budget is the initial plan of what the company intends to accomplish in the period and evolves from both the operating and financing decisions managers make as they prepare the budget:

- ✓ Operating decisions deal with how to best use the limited resources of an organization.
- ✓ Financing decisions deal with how to obtain the funds to acquire those resources.

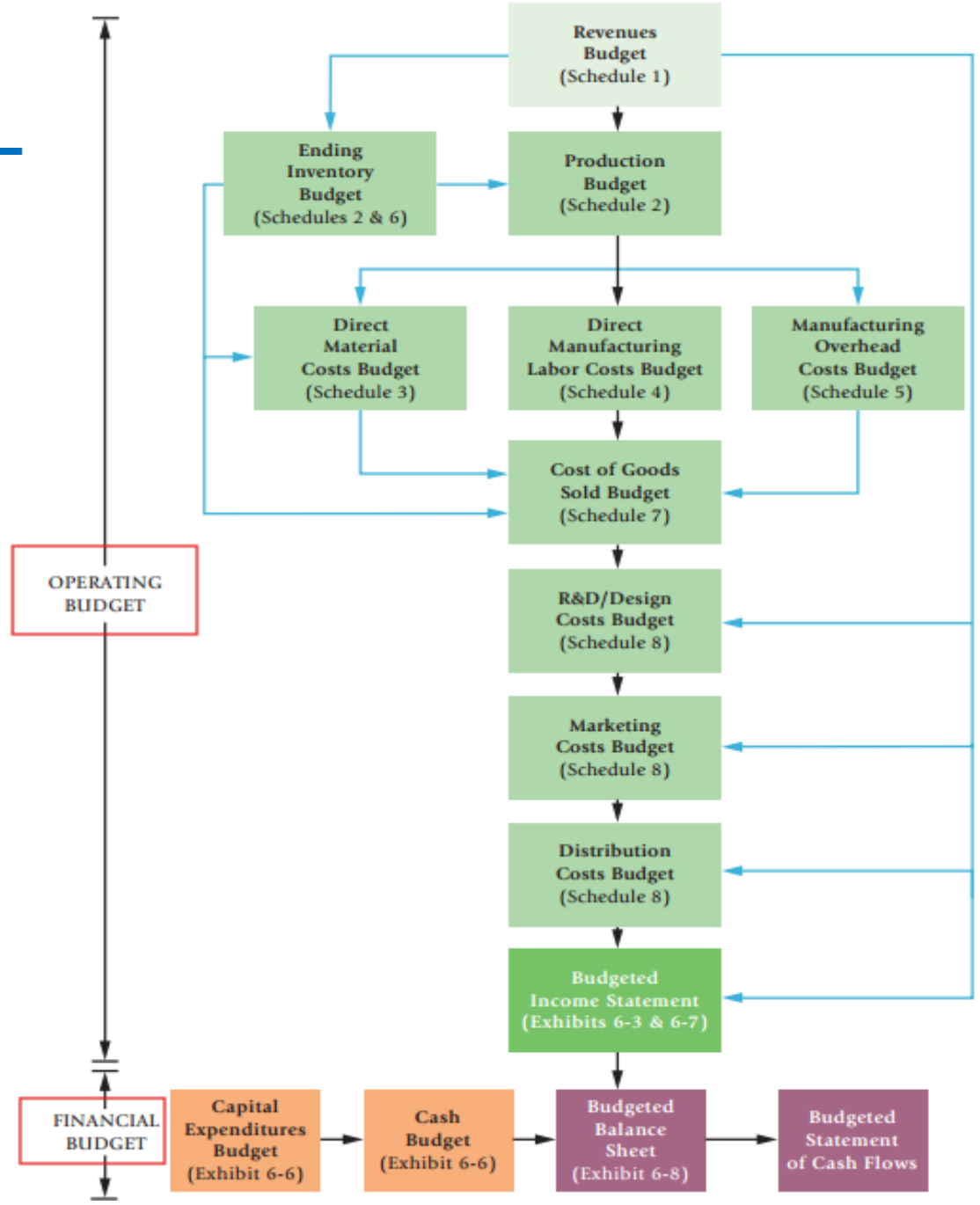
Budgeting cycle

1. Managers at all levels take into account the company's past performance, market feedback, and anticipated future changes to initiate plans for the next period.
2. At the beginning of the fiscal year, senior managers give subordinate managers a frame of reference, a set of specific financial or nonfinancial expectations against which they will compare actual results.
3. During the course of the year, management accountants help managers investigate any deviations from the plansand if necessary, corrective action.

Budgeting cycle

Prepare (estimate) the following budgets:

1. Revenues
2. Production (sales + ending stock – initial stock)
3. Materials purchases
4. Direct labor costs
5. Manufacturing OH
6. Ending inventory budget
7. Cost of goods sold
8. Nonmanufacturing costs
9. Financial statements (P&L, B/S, Cash flow)
10. Sensitivity analysis ("what if")



Steps in preparing a Budget

- ✓ Start by Identifying the problem and uncertainties: strategy and challenges
- ✓ Obtain accurate info: from the company and the market…
- ✓ Make predictions about the future: i.e. assumptions to project, macro trends, competition…
- ✓ Make decisions by choosing among alternatives: i.e. new products o markets, capex versus return, investment plan…
- ✓ Implement the decision, evaluate performance and learn

Sensitivity analysis

- ✓ Analyze how budgets may perform under different assumptions used in the projections (i.e. change in the product mix sales, costs of materials, competition, inflation…)
- ✓ Base, pessimistic and optimistic cases
- ✓ Worse case scenario
- ✓ Contingency plans and remedial actions

The Cash budget

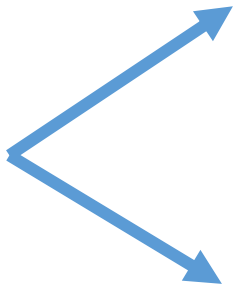
The cash budget is a schedule of expected cash receipts and cash disbursements. It predicts the effects on the cash position at the given level of operations. Main sections:

- ✓ Cash available for needs before financing
- ✓ Cash disbursements: inventory purchases, manufacturing costs, labor, outlays for properties, capex, taxes…
- ✓ Short and long term financing needs and investment opportunities
- ✓ Ending cash balance
- ✓ Goal: determine feasibility of the operating plan

Budgeted Income Statement

Developing an operating budget

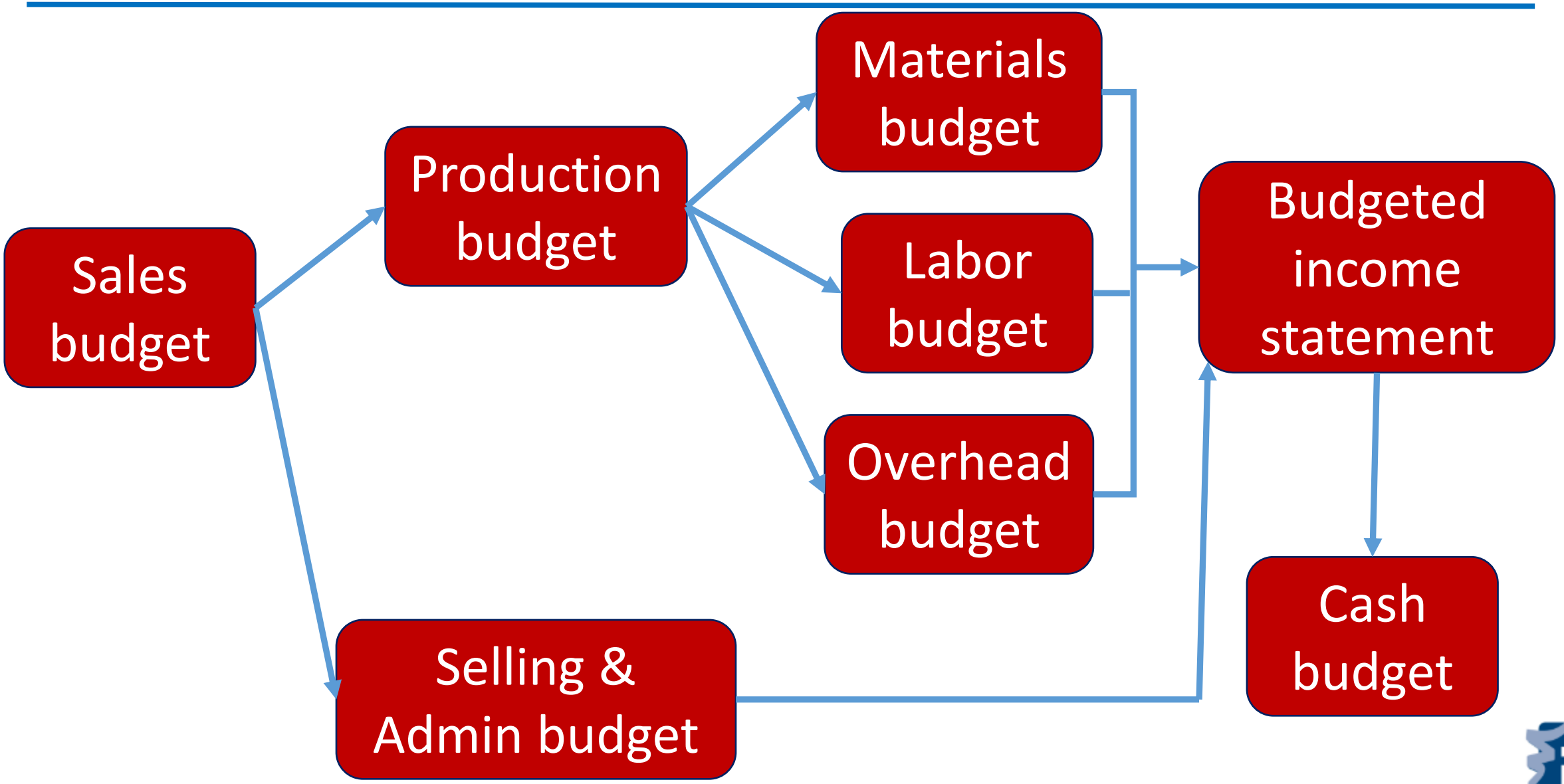
- Usually a year divided monthly
- Rolling budget



Operating budget (incl. budgeted income statement)

Financial budget (incl. the cash budget)

Framework


Sales budget
Production budget
Materials budget
Labor budget
Overhead budget
Selling & Admin budget
Budgeted income statement
Cash budget

Proforma P&L

Revenues
- Costs of Goods Sold
Gross Profit
- Selling & Administrative Expenses
Operating Income
- Interest
Pre-tax income
- Corporate tax
Net Income

Balance sheet

Tangible assets Intangible assets	Equity
Inventory Accounts Receivable Cash	Long term liabilities Short term liabilities

Practical cases

Case: The Mochizuki Company

The Mochizuki Company in Japan has a division that manufactures two-wheel motorcycles. Its budgeted sales for Model G in 2015 is 915,000 units. Mochizuki's target ending inventory is 70,000 units, and its beginning inventory is 115,000 units. The company's budgeted selling price to its distributors and dealers is 405,000 yen per motorcycle.

Mochizuki buys all its wheels from an outside supplier. No defective wheels are accepted. The company's target ending inventory 72,000 wheels, and its beginning inventory is 55,000 wheels. The budgeted purchase price is 18,000 yen per wheel.

1. Compute the budgeted revenue in yen.
2. Compute the number of motorcycles they should produce.
3. Compute the budgeted purchases of wheels in units and in yen.
4. What actions can Mochizuki's managers take to reduce budgeted purchasing cost of wheels assuming the same budgeted sales for Model G?

Data (in Yens '000)	
Budgeted sales (units Model G)	915.000
Target ending stock (units)	70.000
Beginning stock (units)	115.000
Sales price per unit (Yens '000)	405
Ending stock of wheels (units)	72.000
Beginning stock of wheels (units)	55.000
Purchase price per wheel (Yens '000)	18

Case: Game Depot

Game Depot is a retail store selling video games. Game Depot also sales and repairs game systems. The forecast of sales and service revenue for the March-June 2014 is as follows:

Sales and service revenues budget March-June 2014 ($)			
Month	Expected sales revenues	Expect. services rev.	Total revenues
March	9.000	1.500	10.500
April	11.000	2.000	13.000
May	12.400	2.800	15.200
June	19.400	5.200	24.600
Paid in cash	10%	0	
Store account (customers)	40%	0	
Sales paid for by c. card	50%	100%	
Cost credt card / sales	3%	3%	

Store accounts

Paid the following month	90%
2 months after the purchase	8%
Uncollectible	2%

Case: Game Depot

1. Calculate the cash Game Depot expects to collect in May and in June 2014. Show calculations for each month.

2. Game Depot has budgeted expenditures for May of $ 8,700 for the purchase of games and games systems, $ 2,800 for rent and utilities and other costs, and $ 2,000 in wages for the two part-time employees.

   a. Given your answer to requirement 1, will Game Depot be able to cover its payments for May?

   b. The projections for May are budget. Assume (independently for each situation) that May revenues might also be 5% less and 10% less and that costs might be 8% higher. Under each of those three scenarios, show the total net cash for May and the amount Game Depot would have to borrow if cash receipts are less than cash payments. Assume the beginning cash balance for May is $ 200.

3. Why do Game Depot's managers prepare a cash budget in addition to the revenue, expenses and operating income budget? Has preparing the cash budget been helpful? Explain briefly.

Case: Skulas Inc.

Skulas Inc., manufactures and sells snowboards. Skulas manufactures a single model, the Pipex. In the summer of 2014, Skulas management accountant gathered the following data to prepare the budgets for 2015:

Direct Materials and labor requirements	
Wood (board feet per snowboard)	9
Fiberglass (yards per snowboard)	10
Direct manufacturing labor (hours per snowboard)	5

Skulas' CEO expects to sell 2,900 snowboards during 2015 at an estimated retail price of $ 650 per snowboard. Further, the CEO expects 2015 beginning inventory of 500 snowboards and would like to end 2015 with 200 snowboards in stock.

Direct materials inventories	Beg. Invent. 1/1/2015	End. Invent. 31/12/2015
Wood (board feet)	2.040	1.540
Fiberglass (yards)	1.040	2.040

Case: Skulas Inc.

Variable manufacturing overhead is $7 per direct manufacturing labor hour. There are also $81,000 in fixed manufacturing overhead costs budgeted for 2015. Skulas combines both variable and fixed manufacturing overhead into a single rate based on direct-manufacturing labor hours. Variable marketing costs are allocated at the rate of $ 250 per sales visit. The marketing plan calls for 38 sales visits during 2015. Finally, there are $35,000 in nonmanufacturing costs budgeted for 2015. Other data include:

	2014 Unit price	2015 Unit price
Wood ($ per board foot)	32	34
Fiberglass ($ per yard)	8	9
Direct manufacturing labor ($ per hour)	28	29

The inventoriable unit cost for ending finished goods inventory on December 31, 2014, is $374.80. Assume Skulas uses a FiFO inventory method for both direct materials and finished goods. Ignore work in process for your calculations.

Case: Skulas Inc.

1. Prepare the 2015 revenues budget (in dollars)
2. Prepare the 2015 production budget (in units)
3. Prepare the direct material usage and purchases budgets for 2015
4. Prepare a direct manufacturing labor budget for 2015
5. Prepare a manufacturing overhead budget for 2015
6. What is the budgeted manufacturing overhead rate for 2015?
7. What is the budgeted manufacturing overhead cost per output unit in 2015?
8. Calculate the cost of a snowboard manufactured in 2015.
9. Prepare an ending inventory budget for both direct materials and finished goods for 2015.
10. Prepare the cost of goods sold budget for 2015.
11. Prepare the budgeted income statement for Skulas, Inc., for the year ending December 31, 2015.

References

- Horngren et al., 2015: Chapter 6